the economy. Sectors that depended chiefly on innovation and knowledge prospered. This was capitalism at its most creative: generating incomes and jobs, satisfying consumer tastes, and also spawning a new wave of philanthropy.

More recently, however, some less appealing sides of capitalism have manifested themselves. The state retains control of three key resources—land, minerals, and the airwaves. As we have seen, these resources have become enormously valuable with the expansion of the economy, prompting sweetheart deals between individual politicians and individual entrepreneurs, whereby land, minerals, or spectrum are transferred at much less than market cost, and for a (quite large) consideration. This process rewards those entrepreneurs with the best contacts, rather than the best ideas. Creative capitalism has increasingly given way to crony capitalism, with dire consequences for society, for the environment, and for public institutions. Hence the 2G scandal, the spike in the Maoist insurgency due to the dispossession of tribals by mining companies, the killings of whistle-blowers by the land mafia, *etc.*

The first generation of reforms succeeded admirably in freeing India from the Hindu rate of growth. However, they should have been followed by a second generation of reforms, to enhance the capacity (and accountability) of state schools and public hospitals, and to create and properly staff the new, independent regulatory institutions that were now required. These reforms might have spread economic growth more evenly across regions and social classes; and also checked the abuse of nature that the free rein currently given to extractive industries (such as mining) has promoted.

Had this reform of public institutions taken place, it might have prevented the polarizing social conflicts over land and other natural resources. These reforms remain necessary, and overdue. Only then might economic growth in India be made more inclusive and, in all senses of the word, sustainable.